14.6 Accounting software

The main function of CAS is to perform the accounting activities in an organisation and generate reports as per the requirements of the users. To obtain the desired results optimally, need based software or packages are to be installed in the organisation. Depending upon the suitability of business requirements there are three types of software, namely, (i) Readymade software, (ii) Customised software and (iii) Tailormade software.

(i) Readymade software

These packages are standardised or readymade packages which can be used by the business enterprises immediately on procurement. These packages are used by small and conventional business enterprises. Cost of installation and maintenance is very low. Training cost is negligible and sometimes the vendor provides free of cost training. These softwares are used by those enterprises where financial transactions are simple, uniform and routine in nature. Few examples of such type of software are Tally, Busy, Marg, Profitbooks.

(ii) Customised software

Many a time, it is not possible that ready-to-use packages suit the requirements of the business enterprise. In such circumstances, customised packages may help the business enterprise for fulfilling their requirements. Customised packages can be modified according to the need of the enterprise. For example, software can record attendance of the employees and on the requirement of the customer it can also count the absence of employees in a month, etc.

These packages are used by medium or large business enterprises. Cost of installation, maintenance and training is relatively higher than that of ready-to-use packages. These softwares are used by those enterprises where financial transactions are somewhat peculiar in nature.

(iii) Tailormade software

Large enterprises have their own way of functioning. For effective management information system, varied and specific information is frequently required by many users which may not be needed in case of small or medium scale enterprises. In such enterprises, depending upon their functioning, need based softwares known as tailored packages are installed. The cost of these packages is very high and specific training for using these packages is also required.

The following are the differences among the three types of software:

Basis	Ready to use software	Customised software	Tailor made software
(i) Nature of business	Small, conventional business	Large, medium business	Large
(ii) Cost of installation and maintenance	Low	Relatively high	High
(iii) Expected level of secrecy (software and data)	Low	Relatively high	Relatively high
(iv) Number of users and their interface	Limited	As per specifications	Unlimited
(v) Linkage to other information system	Restricted	Not restricted	Not restricted

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